

Research Briefing | France

France - Second lockdown will see renewed GDP fall

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- Last week, the French government announced a second nationwide lockdown as the surge in Covid-19 infections threatens to push hospital capacities to the limit again. This is one of the toughest set of measures implemented in Europe against the second wave of contagion. Officially planned for four weeks, we think the lockdown will be in place for at least six weeks, until mid-December.
- The economic damage caused by this second lockdown is likely to be milder than during the spring, as restrictions are looser, notably for the industry and construction sectors. Overall, we see the economy dropping by 4.5% q/q in Q4 - still the sharpest contraction across the eurozone, which will result in a 9.3% GDP fall in 2020. But we also see a markedly milder GDP rebound of only 5.7% in 2021, almost 1pp below our expectations of a month ago.

Against the second wave of Covid-19 infections, the French government re-imposed a nationwide lockdown last week. Officially planned for four weeks, we think this second lockdown will last for at least six weeks, until mid-December, to protect the Christmas season as much as possible.

The impact on the economy is likely to be milder than during spring, as the restrictions are less severe than in the first lockdown (Figure 1). Most notably, no factory closures or suspension of construction sites have been requested this time. Public services, which were a major drag in the H1 economic fallout, will also remain operating. The other major difference is that schools and kindergartens will remain open, reducing

Figure 1: Second lockdown restrictions are less severe than in the first lockdown

France: Covid-19 containment measures

	1st lockdown	2nd lockdown
Gatherings		
Social gathering	Forbidden	Forbidden
Care homes	Visits forbidden	Visits allowed
Mass gathering events	Forbidden	Forbidden
Schools	Closed	Open
Universities	Closed / remote learning	Closed / remote learning
Economic activities		
Industrial factories	Closed	Open
Construction sites	Closed	Open
Hotels	Closed	Closed
Bars & Restaurants	Closed	Closed
Contact intensive services (gyms, museums,...)	Closed	Closed
Retail - essential goods	Open	Open
Retail - non-essential goods	Closed	Closed
Public services	Closed	Open
Personal mobility		
For personal reasons	Forbidden, few exceptions	Forbidden, few exceptions
Work commuting	Forbidden unless essential activity (eg. doctors)	Restricted, remote work mandatory if possible
Travel between regions	Forbidden	Forbidden
International travel	Severely restricted	Severely restricted

Source: Oxford Economics, French government

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the hit to labour supply as many parents won't be forced to stop working to take care of children. Finally, while remote working is mandatory again, work commuting is now tolerated, with due authorizations, for activities where working from home is impossible.

Hospitality and entertainment services will bear the brunt again, with output expected to fall at similar levels as in the first lockdown (Figure 2). The hospitality sector is shut again, with only take-away and food deliveries allowed. Other contact-intensive services, such as gyms or museums, are also shuttered. Output in these sectors was far from recovered before the new lockdown was imposed. **The retail sector will also suffer**, as shops of non-essential goods (books, shoes, etc.) are closed again. Shops selling both essential (food, medicines, IT items, etc.) and non-essential goods, which are generally large stores, are now allowed to open but are forbidden to sell non-essential items during the period of lockdown in an aim to avoid unfair competition against shops that are shut down.

Industry and construction output, which fell massively during the first lockdown, will be markedly less hit this time (Figure 3). Not only factories and construction sites can continue operating, but the "surprise factor" that strongly disturbed production in the spring will be less disruptive as sanitary and social distancing measures are already in place in most companies. Shortages of health security items, like masks, are also less probable. This also means worker unions' actions, which prevented output to resume during the first lockdown, are less likely this time.

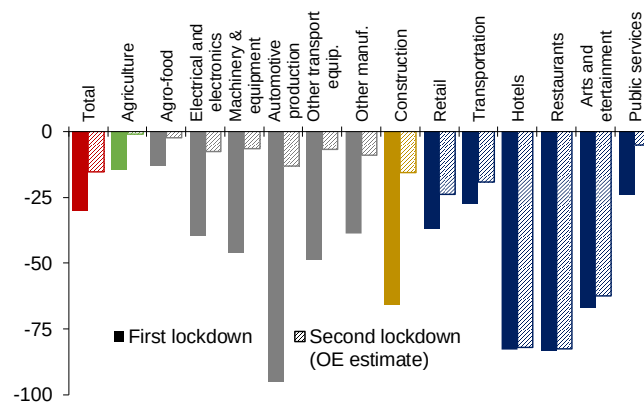
The French containment measures are among the toughest implemented in Europe against the second wave of infections, with restrictions in [Germany](#), [Italy](#) or Spain notably lighter. Consequently, we expect French GDP to fall by 4.5% q/q in Q4, markedly less than the -20% fallout recorded during the first lockdown (which lasted 8 weeks), but still the sharpest contraction among major [eurozone](#) economies (Figure 4). This will result in a 9.3% GDP fall in 2020. The deterioration in Q4 will also mechanically translate into lower annual growth in 2021, which we now see at 5.7%, 1pp lower than our forecasts a month ago.

Risks will remain on the downside until a vaccine is available as containment measures could be strengthened or re-imposed from time to time, generating a stop-and-go pattern, which, beyond the direct immediate economic damage, would also weigh on already fragile consumption and business confidence.

Figure 2: Most sectors will have a milder fallout than during the first lockdown

France: Output loss at the trough of lockdowns

100 = normal levels of output

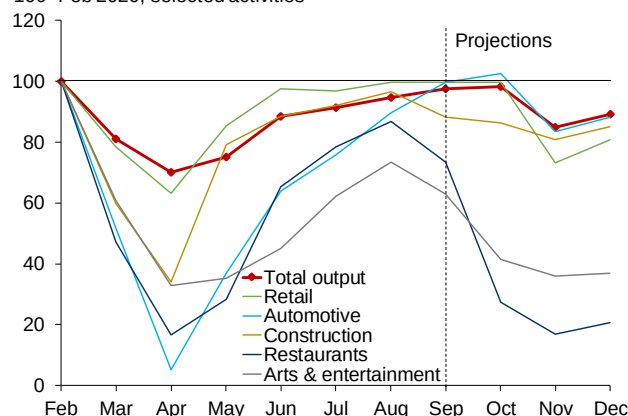


Source : Oxford Economics estimates/INSEE/Haver Analytics

Figure 3: Industry recovered markedly from the first lockdown, but hospitality remained depressed

France: Illustrative monthly output

100=Feb 2020, selected activities

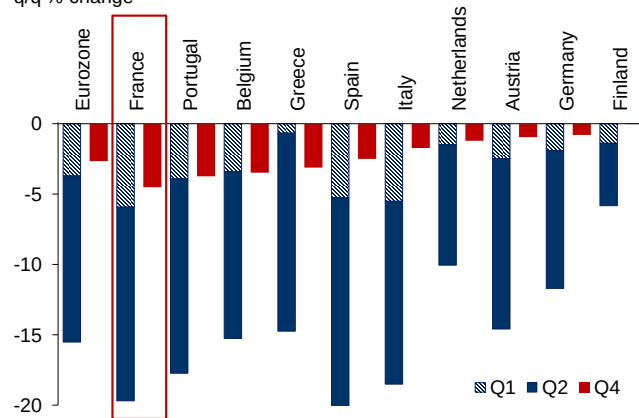


Source : Oxford Economics/Haver Analytics

Figure 4: France to record the sharpest GDP contraction in Q4 among eurozone economies

Eurozone: Real GDP change

q/q % change



Source : Oxford Economics/Haver Analytics